

The Language of Business Analytics

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Business Analytics

Transforming raw data into actionable insights. It also helps organizations to understand past performances and helps predict future trends.

Business Intelligence (B.I)

Comprises strategies and technologies used by organizations to analyze data and turn it into actionable insights that drive strategic and operational decisions.

Data Analytics

The process of examining, modelling raw data, transforming and cleaning to discover actionable insights.

Data-Driven Decision Making (D.D.D.M)

Is used in the process of using facts, metrics, data to guide strategic business decisions, rather than relying on factless information.

Big Data

Big Data mainly refers to massive (big) datasets that traditional data processing systems cannot handle well.

Descriptive Analytics

Summarizing and interpreting past and present data to understand events and patterns. To make way for 'what has happened' to be asked and answered.

Diagnostic Analytics

The way of processing and analyzing historical data to uncover the root causes of trends, patterns and outcomes, helping organizations understand why events occurred.

Predictive Analytics

This type of analytics uses historical data, machine learning techniques and algorithms to predict future outcomes of data. It identifies all the patterns and past trends, helping companies to prevent future risks and losses.

Prescriptive Analytics

One of the most advanced methods of advanced data. It also makes it easy to answer 'What should we do next?'. It uses different techniques to provide actionable recommendations for decision making.

Data Literacy

Ability of individuals and different companies to understand, analyze visuals and apply data effectively to reach company specified goals. Most important components of data literacy are data sources, cleaning and managing.

Structured Data

Is information that has been organised in a predefined and tabular way helping you to read and analyze easily by robots and human beings. This type of data is organized according to a fixed schema.

Unstructured Data

This type of data is the type that does not have a particular format. They are large files e.g. terabytes. Types of unstructured data are music, videos and audio.

Data Warehouse

A central data store, where in one data warehouse you can have different types of schemas with multiple tables. Examples: database schema, batchhouse schema.

Data Mining

A way of analyzing large datasets to discover correlations and patterns (trends) using techniques or skills from machine learning, statistics and database systems. An important part of KDD.

Data Visualization

A graphic representation of information and data using visual elements. Efficient data sharing, enhanced understanding, accurate analysis.

Dashboard

A visual interface that aggregates and displays key data metrics and KPIs, providing a sneak peek of insights and total performances.

Metric

Relating to or based on the metre as a unit of length. E.g. any measurable number.

KPI (Key Performance Indicator)

A measurable value used to track progress towards specific organizational goals, e.g. a quantifiable measure.

Benchmark

A way of comparing different company processes and performances. Also good in evaluation when running a lucrative business.

Segmentation

Dividing a broad market into smaller, more manageable groups of customers who share similarities. This helps businesses to understand their client base easier.

Conversion Rate

Simply measures how effectively a business or website turns visitors into customers or leads by completing a desired goal that is called conversion.

Customer Acquisition Cost (CAC)

The amount of money a business incurs to acquire a new client (paying). It can also be described as the average cost.

Customer Lifetime Value (CLV / LTV)

A profit that a business can expect from a single customer over the duration of their relationship.

Churn Rate

A percentage of customers or subscribers who stop doing business with a company over a specific period.

Customer Retention Rate

The long term relationship between a customer and a business.

Net Promoter Score (NPS)

Is a customer loyalty metric that measures how likely customers are to recommend a company, service or product.

Average Order Value (AOV)

Calculates the average amount a customer spends per transaction. Giving insights of purchasing behaviour.

Sales Funnel

A sales funnel illustrates the steps a potential customer takes from discovering a product or service to making a purchase.

Marketing Campaign

A strategic effort made to reach/achieve certain goals in a company. Product awareness, increasing sales etc.

Post Campaign

Is the analyzation of what worked, what didn't work or what could've worked during a campaign.

Incremental Revenue

Additional income made from a specific business campaign over a period of time. This concept is important for business to see their full performance.

Return of Investments (ROI)

A profitable measure that compares a company's net income to its revenue.

Return of Ad Spend (ROAS)

The revenue generated for every cent spent to help the business grow.

Click Through Rate (CTR)

The amount of people who click on your link once they see it.

Bounce Rate

This rate simply tells you the percentage of users who leave after viewing your page without purchasing anything or adding a favourite item to their wishlist.

A/B Testing

Is a controlled experiment that compares who performed better. (Wikipedia)

Lead Generation

Sourcing and cultivating potential customers for new or existing business products. (Creatly)

Marketing Attribution

Touches on each customer's journey towards conversions, whether that scale is a sign up.